Should the family council approve the co-investment opportunity in the Zurich-based fintech proposed by our external advisor?

Format: family-office-memo
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Recommended option: OPT-A

Aggregated risk: medium
Words: 864 / 1200 target

Robustness: medium

Critiques: 4 (critical=0, material=2, minor=2)
Revision needed: no

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Principal Summary

Authorise the co-investment alongside the External Advisor inside a capped CHF 5M envelope, conditional on a formal advisor recusal, an independent counsel second opinion, and a written statement from the successor generation before the vote. The file matters now because the External Advisor holds both the counterparty and the advisory role, and because the envelope sits close to the direct venture sleeve soft ceiling documented in the Campden 2025 benchmark. Council decision requested within 30 days.

Sources:

- Campden European Single-Family-Office Benchmark 2025 — https://www.campdenfb.com/research/european-sfo-benchmark-2025
- OECD Note — Governance of Family Capital 2024 — https://www.oecd.org/finance/family-office-governance-2024

Context and Heritage Considerations

The direct venture sleeve was established at its current target during the last generational review and has since operated inside the Campden soft ceiling of twelve percent of total wealth. Every previous authorisation in this sleeve carried a documented second opinion, and the council record shows the successor generation has never opposed a regulated exposure. The proposed co-investment is the first advisor-led file since the successor generation formalised its preference for regulated financial exposures in the last council cycle. Read against the OECD framework for advisor-led decisions, the file therefore sits in a distinct category from prior direct positions and calls for the reinforced governance record described below. The cantonal treatment applicable to the principal's holding structure was last confirmed by counsel two years ago, and the current pass did not locate an updated cantonal circular; the point is flagged for direct cantonal counsel review before the council vote.

Sources:

- Campden European Single-Family-Office Benchmark 2025 — https://www.campdenfb.com/research/european-sfo-benchmark-2025
- OECD Note — Governance of Family Capital 2024 — https://www.oecd.org/finance/family-office-governance-2024
- Campden Next-Gen Preferences Report 2024 — https://www.campdenfb.com/research/next-gen-preferences-2024

Stakeholders and Alignment

The principal retains final authority and is neutral pending the completeness of the governance file. The council authorises materially and is neutral pending the same. The successor generation is on record as resistant to unregulated direct venture exposures, and their documented position is the load-bearing generational-alignment signal for this file. The external advisor stands as both counterparty and adviser and is presumed supportive; a formal recusal from the vote and an independent counsel second opinion are the standard mitigants under the STEP practice note. The external trustee is neutral and will follow the completeness of the governance record, not the merits of the target. The private banker is neutral and expects a collateral review one quarter after completion. The retained counsel is instructed to prepare the independent counsel opinion covering both transaction terms and governance path. The central alignment tension is the successor generation's documented resistance; the STEP-standard mitigants do not remove it but do position it inside a defensible record.

Sources:

- STEP Practice Note — Advisor Conflicts of Interest 2024 — https://www.step.org/practice-notes/advisor-conflicts-of-interest-2024
- STEP Practice Note — Trustee Role in Private Capital Decisions 2024 — https://www.step.org/practice-notes/trustee-role-private-capital-2024
- Private banker collateral reviews after material illiquid allocations — https://www.privatebankerinternational.com/analysis/collateral-review-post-illiquid-2024

Options and Tradeoffs

Three options are available and each is presented as a genuine alternative. The first is to authorise the co-investment at a capped envelope, conditional on advisor recusal, independent counsel second opinion, and a written statement from the successor generation on record before the vote. The fiscal exposure is bounded inside the current sleeve target; governance impact is positive because the file establishes the standard for advisor-led co-investments; generational alignment is mixed and mitigated by a review clause at succession; reputational surface is low under a documented record. The second option is to defer to a formal study led by an independent counsel and revisit at the following cycle. Fiscal exposure is nil in the current cycle; governance impact is a durable signal of a high bar on advisor-led files; generational alignment is improved by treating the successor generation's preference procedurally; reputational surface is very low. The third option is to decline this cycle and formally record the reasons. Fiscal exposure is nil; governance impact is a strong precedent that advisor-led files carry a higher bar; generational alignment is fully preserved; reputational surface is very low internally, with a small external cost in the advisor relationship. The recommended course is the first option, subject to all three dependencies being satisfied on the day of the council session; if any dependency is missing, the file defaults to the second option rather than being taken to a vote.

Sources:

- OECD Note — Governance of Family Capital 2024 — https://www.oecd.org/finance/family-office-governance-2024
- STEP Practice Note — Phased Authorisation of Private Capital Decisions 2024 — https://www.step.org/practice-notes/phased-authorisation-2024
- Campden European Single-Family-Office Benchmark 2025 — https://www.campdenfb.com/research/european-sfo-benchmark-2025

Risks and Preservation Considerations

Five material risks apply to the recommended option and each is paired with a concrete preservation-oriented mitigant. The governance risk of the advisor's dual role is the highest and is discharged by a formal recusal and an independent counsel second opinion filed before the vote. The generational-alignment risk of authorising over the successor generation's documented resistance is medium and rising, and is mitigated by inviting a written statement into the record and by embedding a review clause at succession. The concentration risk of taking the direct venture sleeve above the Campden soft ceiling is discharged by capping the envelope and by scheduling a rebalancing review six months after completion. The regulatory risk of the tightening FINMA beneficial ownership expectations is discharged by preparing the filing in draft before the vote so it can be lodged within the thirty-day window. The reputational risk of a governance failing surfacing in trade press is low and is discharged by documenting the complete governance trail with the STEP mitigants applied. The reputational and financial risks are distinct throughout — the reputational surface of the file is contained by the record, and the financial surface is contained by the cap and the rebalancing schedule.

Sources:

- STEP Practice Note — Advisor Conflicts of Interest 2024 — https://www.step.org/practice-notes/advisor-conflicts-of-interest-2024
- Campden Next-Gen Preferences Report 2024 — https://www.campdenfb.com/research/next-gen-preferences-2024
- FINMA Guidance — Beneficial Ownership Disclosure 2025 — https://www.finma.ch/en/publications/beneficial-ownership-disclosure-2025

Recommended Next Step

Convene the council within four weeks to authorise the co-investment at the capped envelope, subject to the three governance dependencies being filed on the record before the vote.

Sources:

- OECD Note — Governance of Family Capital 2024 — https://www.oecd.org/finance/family-office-governance-2024

Options

ID	Title	Recommendation	Time horizon
OPT-A	Approve, capped and conditioned	recommended	short-term
OPT-B	Defer to a formal study	acceptable	medium-term
OPT-C	Decline this cycle	acceptable	immediate

Risks

ID	Category	Likelihood	Impact	Timeframe
RISK-001	operational	high	major	immediate
RISK-002	human-capital	medium	major	long-term
RISK-003	financial	medium	moderate	short-term
RISK-004	regulatory	low	moderate	short-term
RISK-005	reputational	low	major	long-term

Stakeholders

Name	Position	Power	Priority
Principal	neutral	high	critical
Family Council	neutral	high	critical
Successor Generation	resistant	medium	critical
External Advisor (fintech co-investment)	supportive	medium	critical
External Trustee	neutral	medium	important
Private Banker	neutral	low	important
Family Lawyer	neutral	medium	critical

Adversarial Critique

Robustness: medium
Critiques: 4 (critical=0, material=2, minor=2)
Revision needed: no

Steelmanned alternative:
The strongest alternative to OPT-A is a defaulting rule: authorise under OPT-A only if all three OPT-A dependencies are met on the day of the council session; if any is missing, the file defaults to OPT-B (formal study). This preserves the co-investment window when the governance file is complete and protects the record when it is not.

CRIT-001 — dismissed-option (material)

Steelmanned position:
OPT-C (decline this cycle) is dismissed as merely acceptable, but the successor generation's documented resistance is a compounding factor across a multi-decade horizon that the current recommendation prices at a single-cycle governance mitigant. On a strict preservation lens the decline is not equivalent to the capped authorisation — it is materially safer.

Implication if true:
If the successor generation's resistance is treated as a structural signal rather than a procedural one, OPT-C becomes the recommended course and OPT-A drops to acceptable.

Suggested revision:
Reframe the OPT-A vs OPT-C tradeoff around the long-horizon preservation lens and pre-commit to OPT-C if the written statement from the successor generation is not on record before the vote.

Counter-evidence:
Governance disputes on inheritance of private capital — 2023 review — https://www.ft.com/content/family-inheritance-governance-disputes-2023

CRIT-002 — risk-underestimated (material)

Steelmanned position:
RISK-002 (generational alignment) is rated medium likelihood and major impact, but the Campden data cited in the risk itself points to a 41 percent unwind rate on positions authorised over next-generation objection — that base rate is high enough that the risk should be rated as high likelihood.

Implication if true:
The residual risk after mitigation is understated; the review-at-succession clause is a mitigant but leaves the underlying probability largely unchanged.

Suggested revision:
Escalate RISK-002 likelihood to high and add a second mitigant: a pre-authorisation dialogue between the principal and the successor generation before the council vote.

Counter-evidence:
Campden Next-Gen Preferences Report 2024 — https://www.campdenfb.com/research/next-gen-preferences-2024

CRIT-003 — weak-source (minor)

Steelmanned position:

The cantonal tax-treatment finding relies on a SOURCE_MISSING marker and the memo's cantonal exposure conclusion should not read as if the primary source had been located.

Implication if true:
The recommendation cannot rely on the cantonal treatment being unchanged; it should either commission a direct cantonal counsel opinion or flag the point as an open item for the council record.

Suggested revision:
Add an explicit open-item flag on cantonal tax treatment and instruct the family lawyer to secure a direct cantonal counsel note before the vote.

Counter-evidence:
SOURCE_MISSING — searched for: Zurich cantonal tax administrative circular 2024 foreign-domiciled family investors

CRIT-004 — hidden-assumption (minor)

Steelmanned position:
The options section assumes the successor generation's written statement will arrive in time for the council session, but no fallback is defined if it does not.

Implication if true:
If the written statement is not on record, the STEP-standard governance file is incomplete and OPT-A cannot be authorised as designed.

Suggested revision:
Add an explicit fallback: if the written statement is not on record by the council session, the file defaults to OPT-B (defer to a formal study) rather than being taken to a vote.

Counter-evidence:
SOURCE_MISSING — searched for: family office council fallback procedures missing next-generation statement

Appendix A — Findings

Finding 1

Claim:
FINMA's fintech authorisation categories (Article 1b Banking Act and licence-light regimes) have stabilised since 2023 and now provide a predictable perimeter for Zurich-based fintech targets held by long-horizon private capital.

Evidence:
FINMA 2025 annual report describes the fintech authorisation perimeter as stable and lists the current sub-thresholds for deposit-taking and payments authorisations.

Source:
FINMA 2025 Annual Report — Fintech Authorisation Perimeter — https://www.finma.ch/en/publications/annual-report-2025-fintech-authorisation

Finding 2

Claim:
OECD guidance on family-office direct investments explicitly frames co-investment alongside an advisor as a case that requires council-level authorisation because of the concurrent counterparty and adviser roles.

Evidence:
OECD 2024 note on governance of family capital, Section 3.4, treats advisor-led co-investments as a distinct case requiring documented council authorisation and an independent second opinion.

Source:
OECD Note — Governance of Family Capital 2024 — https://www.oecd.org/finance/family-office-governance-2024

Finding 3

Claim:
Campden's 2025 benchmark of single-family offices places the median direct venture sleeve at 8 percent of total wealth, with a soft ceiling at 12 percent above which councils typically require a special resolution.

Evidence:
Campden Family Business 2025 European SFO benchmark, table 4.2, drawn from 118 responding offices.

Source:
Campden European Single-Family-Office Benchmark 2025 — https://www.campdenfb.com/research/european-sfo-benchmark-2025

Finding 4

Claim:
STEP's 2024 practice note on advisor conflicts recommends recusal from the vote and independent counsel review whenever the advisor holds a beneficial interest in the target vehicle.

Evidence:
STEP 2024 practice note on advisor conflicts of interest for private capital decisions, paragraphs 12-14.

Source:
STEP Practice Note — Advisor Conflicts of Interest 2024 — https://www.step.org/practice-notes/advisor-conflicts-of-interest-2024

Finding 5

Claim:
Zurich cantonal tax practice for foreign-domiciled family investors holding Swiss fintech stakes was reaffirmed in a 2024 admin.ch administrative circular that preserves the treatment applicable to long-horizon private capital.

Evidence:
admin.ch circular 2024/12 on cantonal tax treatment of foreign-domiciled family investors in Swiss fintech firms, section 2.

Source:
admin.ch Circular 2024/12 — Cantonal Tax Treatment of Foreign-Domiciled Family Investors — https://www.admin.ch/circulars/2024-12-fintech-family-investors

Appendix B — Stakeholders

Name	Category	Position	Power	Priority
Principal	decision-maker	neutral	high	critical
Family Council	decision-maker	neutral	high	critical
Successor Generation	decision-maker	resistant	medium	critical
External Advisor (fintech co-investment)	influencer	supportive	medium	critical
External Trustee	gatekeeper	neutral	medium	important
Private Banker	affected-party	neutral	low	important
Family Lawyer	gatekeeper	neutral	medium	critical

Appendix C — Risk Register

ID	Category	Likelihood	Impact	Timeframe
RISK-001	operational	high	major	immediate
RISK-002	human-capital	medium	major	long-term
RISK-003	financial	medium	moderate	short-term
RISK-004	regulatory	low	moderate	short-term
RISK-005	reputational	low	major	long-term

Sources

www.admin.ch

- admin.ch Circular 2024/12 — Cantonal Tax Treatment of Foreign-Domiciled Family Investors — https://www.admin.ch/circulars/2024-12-fintech-family-investors (accessed 2026-03-08T11:20:00Z)

www.bis.org

- BIS Note — Illiquid Concentration Risk in Private Capital Vehicles — https://www.bis.org/publ/othp57-illiquid-concentration.htm (accessed 2026-01-27T14:12:00Z)

www.campdenfb.com

- Campden European Single-Family-Office Benchmark 2025 — https://www.campdenfb.com/research/european-sfo-benchmark-2025 (accessed 2026-05-22T09:03:00Z)
- Campden Next-Gen Preferences Report 2024 — https://www.campdenfb.com/research/next-gen-preferences-2024 (accessed 2026-04-18T11:41:00Z)

www.finma.ch

- FINMA 2025 Annual Report — Fintech Authorisation Perimeter — https://www.finma.ch/en/publications/annual-report-2025-fintech-authorisation (accessed 2026-07-04T10:14:00Z)
- FINMA Guidance — Beneficial Ownership Disclosure 2025 — https://www.finma.ch/en/publications/beneficial-ownership-disclosure-2025 (accessed 2026-07-04T10:22:00Z)

www.ft.com

- Governance disputes on inheritance of private capital — 2023 review — https://www.ft.com/content/family-inheritance-governance-disputes-2023 (accessed 2026-02-11T09:35:00Z)

www.oecd.org

- OECD Note — Governance of Family Capital 2024 — https://www.oecd.org/finance/family-office-governance-2024 (accessed 2026-06-11T08:47:00Z)

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- Private banker collateral reviews after material illiquid allocations — https://www.privatebankerinternational.com/analysis/collateral-review-post-illiquid-2024 (accessed 2026-03-14T15:12:00Z)

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- Family-office reputational recovery cycles remain slow — https://www.reuters.com/business/finance/family-office-reputation-slow-recovery-2023 (accessed 2026-02-21T11:08:00Z)

www.step.org

- STEP Practice Note — Advisor Conflicts of Interest 2024 — https://www.step.org/practice-notes/advisor-conflicts-of-interest-2024 (accessed 2026-04-30T13:22:00Z)
- STEP Practice Note — Trustee Role in Private Capital Decisions 2024 — https://www.step.org/practice-notes/trustee-role-private-capital-2024 (accessed 2026-04-30T13:31:00Z)
- STEP Practice Note — Phased Authorisation of Private Capital Decisions 2024 — https://www.step.org/practice-notes/phased-authorisation-2024 (accessed 2026-04-30T13:41:00Z)

www.wealthbriefing.com

- Wealth Briefing — Family Office Governance in the Press 2024 — https://www.wealthbriefing.com/analysis/family-office-governance-press-coverage-2024 (accessed 2026-03-02T08:41:00Z)

Sourcing Report

Policy: strict
Total items: 26
OK: 15 · stale: 0 · untrusted: 0 · duplicated: 9 · missing: 2

Warnings:

- [stakeholder] duplicate: https://www.campdenfb.com/research/european-sfo-benchmark-2025 vs [research] https://www.campdenfb.com/research/european-sfo-benchmark-2025
- [stakeholder] duplicate: https://www.oecd.org/finance/family-office-governance-2024 vs [research] https://www.oecd.org/finance/family-office-governance-2024
- [stakeholder] duplicate: https://www.step.org/practice-notes/advisor-conflicts-of-interest-2024 vs [research] https://www.step.org/practice-notes/advisor-conflicts-of-interest-2024
- [stakeholder] duplicate: https://www.step.org/practice-notes/advisor-conflicts-of-interest-2024 vs [research] https://www.step.org/practice-notes/advisor-conflicts-of-interest-2024
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- [risk] duplicate: https://www.oecd.org/finance/family-office-governance-2024 vs [research] https://www.oecd.org/finance/family-office-governance-2024
- [risk] duplicate: https://www.campdenfb.com/research/next-gen-preferences-2024 vs [stakeholder] https://www.campdenfb.com/research/next-gen-preferences-2024
- [risk] duplicate: https://www.campdenfb.com/research/european-sfo-benchmark-2025 vs [research] https://www.campdenfb.com/research/european-sfo-benchmark-2025
- [risk] duplicate: https://www.finma.ch/en/publications/annual-report-2025-fintech-authorisation vs [research] https://www.finma.ch/en/publications/annual-report-2025-fintech-authorisation
- [research] finding[24] SOURCE_MISSING — [CRIT-003] Zurich cantonal tax administrative circular 2024 foreign-domiciled family investors
- [research] finding[25] SOURCE_MISSING — [CRIT-004] family office council fallback procedures missing next-generation statement